

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$252.52 ▲ 0.05%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.72T
-----	------------------	------------------------------	--------------------------------------	-----------------------

AMZN: OpenAI Ad Deal Signals Retail's AI Endgame

WHAT HAPPENED

- Amazon reportedly teaming up with OpenAI on ChatGPT advertising — this is a big deal because it means Amazon's ad business (already ~\$60B run rate) is going to plug directly into how people search and shop via AI chatbots. Translation: if you ask ChatGPT "what's the best coffee maker," Amazon's ad ecosystem gets to be the answer.
- Amazon issued bonds in London instead of the US — Cramer's take is the US debt market is saturated, but the smarter read is Amazon is locking in cheaper European rates to fund AI/data center buildouts. That's a treasurer being opportunistic, not a distress signal.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- No material updates.

IN THE NEWS

AI Agents Are About to Start Spending Your Money. 5 Stocks Sitting in the Line of Fire.
24/7 Wall St. · 2026-09-10 16:15

Amazon Just Made Its Biggest ChatGPT Bet Yet GuruFocus.com · 2026-09-10 15:55

Traders Are Paying More to Bet on Oracle Than to Protect Against It. Here's Why That Is Ba... 24/7 Wall St. · 2026-09-10 15:50

Top Midday Stories: Macy's Shares Fall Despite Strong Earnings; Amazon Reportedly Collabor... MT Newswires · 2026-09-10 15:41

Nvidia Will Pay Its Next Cash Dividend on Oct. 1. Here's How Many Shares of Nvidia (NVDA) ... Motley Fool · 2026-09-10 15:30

WHAT OPTIONS TRADERS ARE DOING

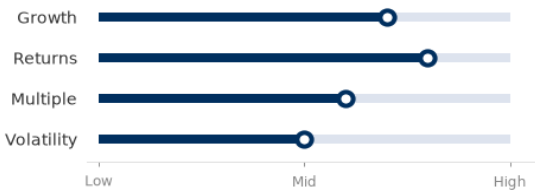
Put/Call Ratio	0.43
Call Vol / Put Vol	116,531 / 50,527
Flow Signal	BULLISH
Largest Unusual	CALL \$227.5 2026-09 (9.9x OI)

Bullish flow: P/C ratio 0.43 with unusual call block at \$228 strike (9.9x OI, \$3.0M notional). Institutional positioning appears long-oriented.

Key Data

Price (USD)	\$252.52
12M Price Target	\$295.00
Upside / (Downside)	+16.8%
Market Cap	\$2.72T
FY2026E Revenue	\$745M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	36.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$268.00	\$255.00	\$242.00
6 Months	\$295.00	\$270.00	\$235.00
1 Year	\$330.00	\$295.00	\$220.00
2 Years	\$400.00	\$340.00	\$210.00
5 Years	\$550.00	\$425.00	\$200.00
10 Years	\$850.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+0.55%) — money is chasing the AI/ad convergence story, which is exactly what the Amazon-OpenAI news feeds into.

COOLING OFF: Consumer Discretionary (-2.18% on the week) and Financials — tariff jitters and consumer spending worries. Amazon straddles both discretionary AND tech, which is why it's outperforming its official sector.

ROTATION WATCH: Money is quietly moving from pure consumer names into "AI-enabled consumer" — Amazon, Meta, Google — where the narrative is that AI makes existing businesses more profitable, not just that AI is a new business.

RELATED PLAY: If the ChatGPT ad partnership is real, The Trade Desk (TTD) and other ad-tech infrastructure names benefit from the broader "AI ads" theme. Data center REITs (EQIX, DLR) also win from Amazon's AWS capex.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Leading the ad-tech AI narrative — every dollar it makes on AI-targeted ads validates Amazon's playbook.
- MSFT (Microsoft): Its OpenAI relationship is the template Amazon is now copying — Azure + OpenAI became a \$10B+ business fast.

AMZN CONTEXT: Amazon is lagging Meta and Microsoft YTD on the AI narrative but catching up — it's 62% through its 52-week range, meaning there's still room before it hits resistance at \$287. This is a "catch-up trade" setup, not a "chase the top" setup.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup, but I'm not pounding the table because we need to see AWS numbers next quarter and get clarity on FTC.

POSITION SIZE: 4-6% — this is a core holding, not a trade. Big enough to matter, small enough that FTC headline risk doesn't wreck you.

ENTRY POINTS: \$245-252 is where it's trading now and looks fine. If we get a broader tech selloff and it dips to \$230, back up the truck.

TIME HORIZON: 12-24 months — you're waiting for AWS acceleration + the ad business to start showing OpenAI-partnership revenue.

WHEN TO BAIL: AWS growth below 15%, FTC forces structural remedy, or Andy Jassy leaves.

HEDGING: If you're worried, buy a March 2026 \$230 put — costs maybe 2-3% of your position and protects against a 10%+ drawdown. Or just size the position smaller if options aren't your thing.